Financial Management

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5.3: Dividend Decision

What is Dividend?

According to the Institute of Chartered Accountants of India, dividend is "a distribution to shareholders out of profits or reserves available for this purpose."7 "The term dividend refers to that portion of profit (after tax) which is distributed among the owners / shareholders of the firm."

As per the section 2(22) of the Income Tax Act, 1961, dividend defined as:- "Any distribution of accumulated profits whether capitalized or not, if such distribution entails a release of assets or part thereof".

Dividend Vs. Capital Gain

- ***Capital gains*** are profits that occur when an investment is sold at a higher price than the original purchase price. Investors do not make capital gains until they sell investments and take profits.

- ***Dividend income*** is paid out of the profits of a company to the stockholders.

Different Schools of Thought

1. Irrelevance Theory: MM Theory : There is no relevance in dividend pay-out and value of the firm.
2. Relevance Theory 1: Clientele Effect : Less dividend higher is t
3. Relevance Theory 2: Bird-in-hand theory: Stable dividend theory: ccertainty of current CF is preferred to future capital gains.
4. Tax preference theory: Suggests that differences between income and capital gains taxes make dividends less attractive.
5. Signaling theory: Suggests that dividend changes convey management expectations about future earnings

Types of Dividend Policy

Regular Dividend Policy

Stable Dividend Policy

Irregular Dividend Policy

No Dividend Policy

Dividend Policy: Payout Ratio

- Dividend policy determines the ultimate distribution of the firm's earnings between retention (that is reinvestment) and cash dividend payments of shareholders.
- There is a reciprocal relationship between retained earnings and dividend i.e. larger the retained earnings, lesser the dividend and smaller the retained earnings, larger the dividend.

Two important dimensions of a firm’s dividend policy are

1. What should be the average payout ratio?
2. How sable should the dividends be over time?

Determinants Dividend Policy

- Funds requirement
- Liquidity
- Access to external sources of finance
- Shareholder preference
- Difference in the cost of external equity and retained earnings
- Control
- Taxes

Why Company Follow a Stable Dividend Policy?

- Steady dividend payout every year irrespective of change in income.
- It is the most popular policy because company's volatility is not reflected in the dividend payout.
- The shareholders are certain that they will be paid dividend on their holdings at least once in a year.
- In turn, it stabilizes share prices in the market.
- Institutional investors often view a record of steady dividend payment as a highly desirable feature before investing.

Types of Dividends

- Cash dividend
- Bonus Shares
- Stock Options
- Share buyback, etc.

Bonus Share

- Bonus shares are those issues to existing shareholders as a result of capitalization of reserves.

- In the wake of a bonus shares:
  - The shareholders' proportional ownership remains unchanged
  - The book value per share, the earning per share, and the market price per share decrease, but the number of shares increases.

Reasons for Issuing Bonus Shares

- Tends to bring the market price per share within a more popular range.
- Increases the number of outstanding shares which promotes more active trading.
- Nominal rate of dividend tends to decline.
- Increases share capital base
- Indicates that prospects of the company have brightened
- Improves prospects of raising additional funds.

Stock Splits

- The par value per share is reduced and the umber of shares is increased proportionately.

Reasons

- No capitalization of reserves
- The shareholder’s proportional ownership remains unchanged.
- The book value per share, the earning per share, and the market value per share decline
- The market price per share is brought within a more popular trading range.

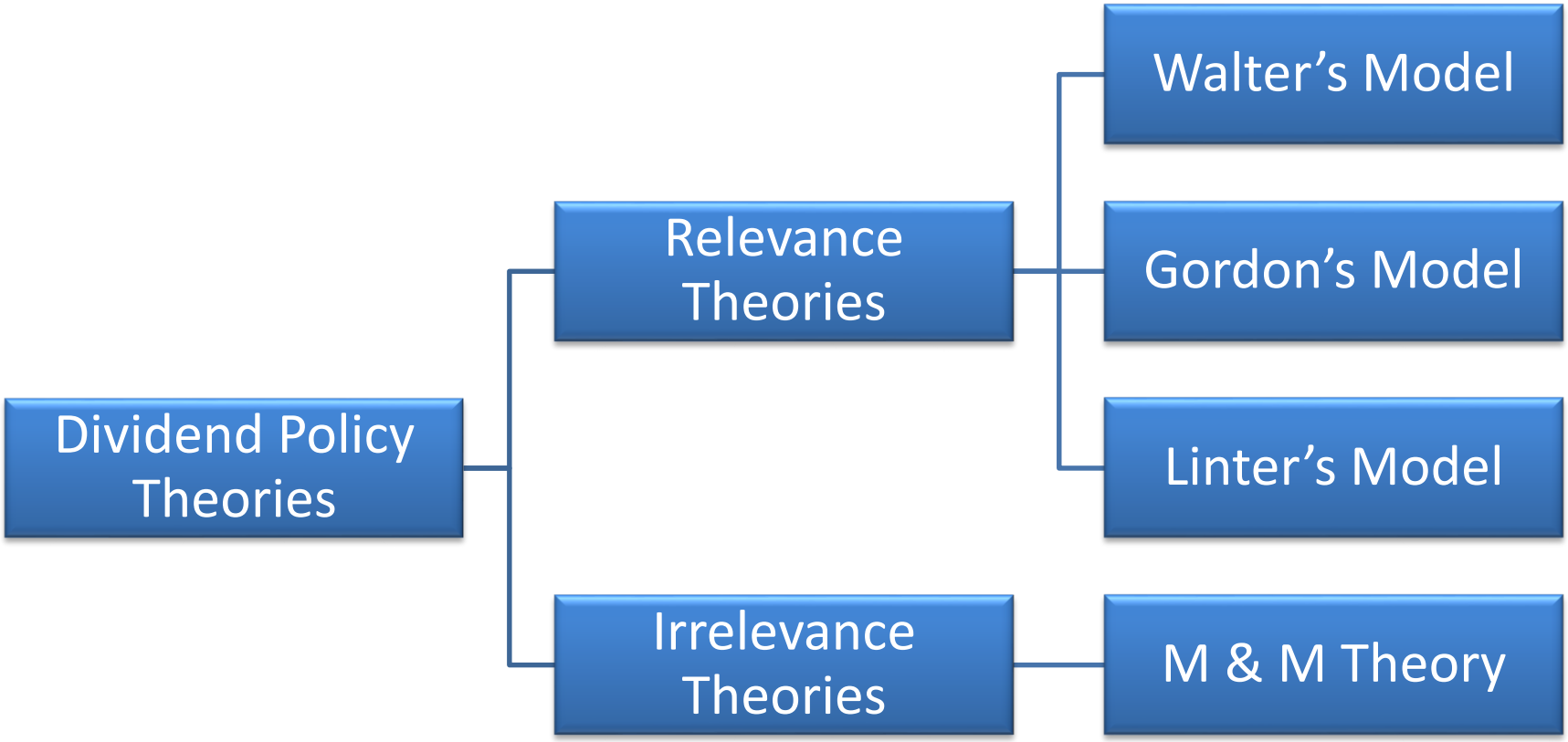
Share Buybacks

- Share buyback referred to as equity repurchases or stock repurchases.
- It started in India after 1998
- Corporates generally choose to buyback by the tender method or the open market purchase method.

Reasons

- To boost stock prices
- To rationalize the company's capital structure
- To substitute cash dividends
- To prevent dilution from stock grants
- To give excessive cash back to shareholders.

Dividend Distribution Theories: Dividend Policy and Share Valuation



Walter's Valuation Model

According to Prof. James E. Walter, in the long run, share prices reflect the present value of future + dividends. According to him investment policy and dividend policy are inter related and the choice of a appropriate dividend policy affects the value of an enterprise.

$$P = \frac{D+(E-D)\frac{r}{k}}{k}$$

Where,

P = Price per equity share

D = Dividend per share

E = Earnings per share

(E-D) = Retained earnings per share

r = Internal rate of return on investments

k = cost of capital

Implication of Walter's Model

1. When the rate of return is greater than the cost of capital (r>k), the price per share increases as the dividend pay-out ratio decreases. That means, the optimal pay-out ratio for a growth firm is nil.
2. When the rate of return is equal to the cost of capital (r=k), the price per share does not vary with changes in dividend payout ratio. Means, the pay-out ratio for a normal firm is irrelevant.
3. When the rate of return is less than the cost of capital (r<k), the price per share increases as the dividend payout ratio increases. That means, the optimal pay-out ratio for a declining firm it 100%.

Walter's Model: Illustration

The earning per share of a firm is Rs.8 and the rate of capitalisation applicable is 10%. The firm has before it an option of adopting (i) 50%, (ii) 75%; and (iii) 100% dividend payout ratio. Compute the market price of the firm's quoted shares as per Walter's model if it can earn a return of (i) 15%, (ii) 10%, (iii) 5 % on its retained earnings.

Gordon's Valuation Model

- Myron Gordon's Dividend Growth Model explains how dividend policy of a firm is a basis of establishing share value.

- The value of a share, like any other financial asset, is the present value of the future cash flows associated with ownership. On this view, the value of the share is calculated as the present value of an infinite stream of dividends.

$$P_0 = \frac{E_1(1-b)}{k - br}$$

Where,
P_0 = price per share at the beginning of the year
E_1 = earning per share at the end of the year
(1-b) = dividend pay-out ratio
b = retention ratio
k = rate of return required by shareholders
r = rate of return on investment

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Gordon's Model: Illustration

The following data are available for Phoenix International.

Earning per share = Rs. 10

Rate of return on investment = 20%

Rate of return required by shareholders = 16%

In the Gordon valuation model holds, what will be the price per share when the dividend payout ratio is 25% and 50%?

Modigliani & Miller Approach

MM constructed their argument on the following assumptions

- Capital markets are perfect and investors are rational: information is freely available, transactions are instantaneous and costless, securities are divisible, and no investor can influence market price.
- Floatation cost are nil
- There are no taxes
- Investment opportunities and future profits of firms are known with certainty.

Substance of MM Argument

If a company retains earnings instead of giving it out as dividends, the shareholders enjoys capital appreciation equal to the amount of earnings retained.

If it distributes earnings by way of dividends instead of retaining it, the shareholders enjoys dividends equal in value to the amount by which his capital would have appreciated had the company chosen to retain its earnings.

Hence, the division of earnings between dividends and retained earnings is irrelevant from the point of view of the shareholders.

MM Approach Formula

$$P_0 = \frac{1}{(1+\rho)}(D_1 + P_1)$$

Where,

P_0 = market price per share at time 0

D_1 = dividends per share at time 1

P_1 = market price per share at time 1

ρ = discount rate applicable to the risk class to which the firm belongs (this rate is assumed to remain unchanged)

MM Approach: Illustration

A Chemical company belongs to a risk-class for which the appropriate PIE ratio is 10%. It currently has 50000 equity shares selling at Rs.100 each. The firm is contemplating the declaration of dividend of Rs. 8 per share at the current fiscal year which has just started. Given the assumption of MM, answer the following questions.

1. What will be the price of the share at the end of year (a) if dividend is not declared; and (b) if it is declared?
2. Assuming that the company pays the dividend, has a net income of Rs. 500000 and makes new investments of Rs. 1000000 during the period, how many new shares must be issued?

THANK YOU!!!